



Feasibility Overview

70 Hathaway Road, Croydon CR0 2TP

Prepared for Neel Dilip, Vuemont Limited | Project TH00210 | Thistle Architecture | July 2026

1. Property and Location Overview

The property is a mid terrace dwellinghouse in the Broad Green ward of Croydon, close to West Croydon and Waddon. It is currently a single family home in Use Class C3, with a rear garden. The rooms are generously sized, which is a genuine strength of the property.

The location is highly sustainable. It has a Public Transport Accessibility Level of 6a, which is the highest band, and it is within a short walk of West Croydon station and frequent bus routes. This supports a car free or car capped approach.

The site is not in a conservation area, is not listed, is not in a flood zone and is not in the green belt. The property therefore retains its permitted development rights, including for a rear extension and a loft conversion. The same street includes a lawful House in Multiple Occupation at 64 Hathaway Road, and rear dormers have been accepted as lawful development on the street.

The gross internal floor area is below 130 sqm. The figure is in the region of 93 to 115 sqm and has been confirmed by the client. This single fact drives the planning position set out below.

2. HMO Position

An HMO is not supportable at this property. Croydon protects family homes below 130 sqm from conversion to an HMO under Policies SP2 and DM1.2 of the Croydon Local Plan. The council measures the original floor area and disregards any extension or loft space. Because the property is below 130 sqm, an HMO application would be very likely to be refused. The realistic expectation is refusal in the order of 95 percent. The following points reinforce this position:

- The policy applies to any HMO size. A three, four or five bedroom HMO all result in the loss of the family house, so reducing the room count does not help.
- The loft conversion and rear extension do not overcome the policy, because only the original floor area is counted.
- The local planning authority indicated it would not recommend a pre application enquiry for an HMO at this property.
- Recent decisions across the borough follow the same pattern, with a high refusal rate for HMO conversions of family homes.

On this basis Thistle does not recommend pursuing an HMO, whether by application, pre application or appeal. The alternative route below is recommended instead.

3. Recommended Strategy: C3(b) Supported Living

The recommended route is a change to C3(b) supported living. This is a form of dwellinghouse for up to six adults living together as a single household where care is provided. It is the strongest route to deliver income from the property without an HMO.

Why it works

- C3(b) remains within Use Class C3. A genuine change from a family dwelling to C3(b) is not development, so it does not need planning permission.



- Because it stays a dwellinghouse, the family housing policy and the Article 4 Direction do not apply. The rules on loss of a dwelling and on parking that would defeat an HMO are not engaged.
- Thistle has delivered this route for clients in comparable situations, where a family housing policy and Article 4 prevented a C4 HMO.

What it requires

- A maximum of six residents, who must be adults. The scheme is proposed at five bedrooms.
- The residents must live as a single household, and there must be a genuine element of care delivered by a care provider or registered agency.
- It cannot hold an HMO licence, and it must not be an HMO disguised as C3(b). The care arrangement must be evidenced by contracts and documentation submitted to the council.
- The property must read as a shared home, with a communal kitchen and living space sufficient for the number of residents. En suites are not required.

The route is confirmed by a Lawful Development Certificate. This is not a means of obtaining an HMO by another name. It is a genuine supported living use that depends on securing a care provider.

4. Proposed Layout and Design Opportunities

The sketch layout demonstrates that five bedrooms and a communal amenity space are achievable within the existing building, without relying on the loft or the rear extension.

Ground floor

- Bedroom 1 to the front, 14 sqm.
- Bedroom 2, 15 sqm.
- A shared WC.
- A communal amenity space of 16 sqm.

First floor

- Bedroom 3 to the front, 18 sqm.
- Bedroom 4, 11 sqm.
- Bedroom 5, 11 sqm.
- A second WC.

Room sizes and amenity

All bedrooms are well above the minimum. Where a separate communal living space is provided, a single room needs only 6.5 sqm, and every proposed room exceeds this comfortably.

The communal amenity is shown at 16 sqm and should be increased toward 20 sqm for five occupants. This is achievable by internal reconfiguration, by using the area under the stairs, or through the 3 metre rear extension. A sixth resident would raise the communal requirement to around 24 sqm, which is the main reason five bedrooms is recommended over six.

Bathrooms and construction

The scheme uses shared bathrooms and WCs rather than en suites, in line with the client's budget approach and the stated position of prospective providers. En suites are optional. They add value and improve the eventual commercial mortgage exit, and are recommended where budget allows. The kitchen must be separated from the communal living space by a door for fire safety.



The lightweight single storey side addition is repurposed rather than relied upon as a habitable room, which avoids a risk on outlook and insulation. The loft and the 3 metre rear extension remain available under permitted development as future upside, either to enlarge the communal space or to add a sixth room if a provider requires it.

5. Planning and Consent Route

- The recommended route is a Lawful Development Certificate for the proposed C3(b) use, under Section 192 of the Town and Country Planning Act 1990.
- The certificate confirms the use is lawful, gives certainty to the client, lenders and valuers, and defeats any later attempt to recharacterise the use as an HMO.
- The evidential burden is on the applicant. The application must demonstrate a genuine single household and genuine care, supported by the provider's documentation.
- The single largest risk is that the use is judged not to be genuine C3(b). This is managed by securing a real care provider and by designing the property to read as a shared home.
- The loft and rear extension are separate permitted development rights and are not affected by the change of use.

The HMO route via pre application or appeal is not recommended. The local authority position and recent local decisions both indicate refusal.

6. Building Regulations and Technical Compliance

The scheme is a change of use with internal reconfiguration, so the works are subject to Building Regulations. Even a budget scheme must meet the relevant standards.

Part B, fire

- A protected escape route, interlinked smoke and heat detection, and fire doors.
- The kitchen must be separated from the communal living space by a door.

Part E, sound

- Separating construction between rooms to the conversion standard where new walls or floors are formed.

Part L and Part F, thermal and ventilation

- Any habitable space, including the reconfigured side area, must meet thermal and ventilation standards. A lightweight or poorly insulated structure is not acceptable as a habitable room.

The works are a controlled refurbishment rather than a light redecoration. The scope can be kept efficient, but the fire, acoustic, thermal and ventilation standards apply regardless.

7. Commercial Position

Income from a C3(b) scheme is delivered through a lease to a care or support provider, not through individual room lets. Rent is commonly underwritten through supported or exempt accommodation funding. The model can deliver income comparable to an HMO, without an HMO licence.

The lease is typically a commercial lease on a repairing basis, with index linked reviews. Indicative net yields for supported living are in the region of 10 to 12 percent, subject to the provider deal. Because the rent is largely underwritten, void risk is lower than a private HMO where a solid provider is in place.



En suites and good room sizes improve the valuation and the commercial mortgage exit. A scheme that is straightforward to refinance protects the client's capital, which is the main reason to consider en suites even though they are not required.

The end value should be confirmed with a specialist broker before the client commits. Thistle will introduce a broker experienced in this area. All figures are indicative and require validation against the provider deal and a measured survey. The room rate model for a private HMO does not apply, because the property will not operate as an HMO.

8. Next Steps and Conclusion

Next steps

- Identify and engage a care or support provider willing to operate the property as C3(b) without an HMO licence. This is the critical step and should precede any works or purchase commitment.
- Confirm the provider's requirements on room count, en suites and communal space.
- Confirm the true original gross internal floor area by measured survey.
- Speak with the recommended broker to establish the end value and exit route.
- Once a provider is secured, prepare and submit a Lawful Development Certificate for the C3(b) use.

Conclusion

An HMO is not supportable at this property. The family housing policy, the position below 130 sqm and the local authority stance make refusal very likely, and this applies to any HMO size. C3(b) supported living is the recommended route. It stays within Use Class C3, avoids the family housing policy and the Article 4 Direction, and can deliver income comparable to an HMO. The route depends on securing a genuine care provider and is confirmed by a Lawful Development Certificate.

Five bedrooms is the recommended count. It is achievable within the existing building, keeps the communal amenity workable and avoids the higher amenity requirement that a sixth resident would trigger. The property is otherwise well suited, with strong transport, no conservation or flood constraints, retained permitted development rights and generously sized rooms.